

S	E	R	V	E	D
July 9, 2018					
FEDERAL MARITIME COMMISSION					

FEDERAL MARITIME COMMISSION

INFORMAL DOCKET NO. 1960(I)

M/S PARSONS OVERSEAS

v.

SEVEN SEAS SHIPPING USA, INC.

DECISION

Decision of Theresa Dike, Small Claims Officer¹

Reparations granted in the amount of \$48,200

I. INTRODUCTION AND SUMMARY

Claimant M/S Parsons Overseas (“Parsons”) initiated this proceeding with the Federal Maritime Commission (“Commission”) on March 6, 2018, by filing a Claim against Respondent Seven Seas Shipping USA, Inc. (“Seven Seas”), alleging that Seven Seas violated 46 U.S.C. § 41102(c) of the Shipping Act of 1984 by releasing Parson’s shipment to an unauthorized party and without obtaining the original bill of lading, as required.

Claimant requested adjudication of his complaint under the informal procedures for adjudication of Small Claims (“informal procedures”). The informal procedures are promulgated at 46 C.F.R. Subpart S of the Commission’s Rules of Practice and Procedure. The rules governing

¹ Pursuant to 46 C.F.R. § 502.304(g), this decision will become final unless the Commission elects to review it within 30 days of service.

the procedures are set out at sections 502.301 - 502.305. Only claims in the amount of \$50,000 or less are appropriate for adjudication using the informal procedures and all parties must consent for it to be utilized. 46 C.F.R. § 502.301(b). Unless reviewed and overturned by the Commission, Subpart S decisions are deemed to be administratively final and conclusive and are not subject to exceptions by the parties. 46 C.F.R. § 502.301(c).

On March 9, 2018, the Assistant Secretary of the Commission sent a Notice of Filing of Small Claims Complaint and Assignment to Seven Seas asking Seven Seas to file a response to the Claim by April 3, 2018, and to indicate whether it consents to the adjudication of the Claim under the informal procedures. The Assistant Secretary assigned this proceeding to the Chief Administrative Law Judge (“Chief Judge”) to designate a Small Claims Officer for the proceeding. On March 27, 2018, Seven Seas filed an Answer to the Claim and consented to the use of the informal procedures. On March 28, 2018, the Chief Judge assigned this proceeding to the undersigned. This Claim is thus decided by a Small Claims Officer. *See* 46 C.F.R. § 502.304(e).

The Commission’s rules at 46 C.F.R. § 502.304(a) and (e), authorize the Small Claims Officer to request from the parties, documents or information necessary to adjudicate the proceeding. Accordingly, on April 27, 2018, the undersigned sent a Request for Supplemental Information (“RSI”) to the parties. The parties were asked to provide certain information and documents² by May 25, 2018, and to submit any replies to each other’s responses by June 8, 2018. Parsons and Seven Seas submitted their respective responses to the RSI on May 25, 2018. On June 7, 2018, Parsons submitted a Reply to Seven Seas’ Response to the RSI (“Parsons’ Reply”). On June 8, 2018, Seven Seas submitted a Reply to Parsons’ Response to the RSI (“Seven Seas’ Reply”). The evidence of record thus consists of the Claim, the Answer, the parties’ responses to the RSIs, the

² *See* April 27, 2018, RSI for the specific information and documents requested.

parties' replies to each other's responses, and the exhibits submitted by the parties.

As discussed below in greater detail, I find that Parsons has proven its allegation that due to the actions of Seven Seas' agent, Virat Global Logistics Pvt. Ltd., in violation of section 41102(c) of the Shipping Act, Seven Seas is liable to Parsons for injury Parsons incurred in the amount of \$48,200. Reparations against Seven Seas are thus granted to Parsons in that amount.

II. FACTUAL BACKGROUND

Claimant Parsons is a corporation in India that manufactures and sells apparel. Claim ¶¶ I, III. Respondent Seven Seas is an FMC-licensed ocean transportation intermediary ("OTI") located in Irvine, California, License No. 020702. Seven Seas is licensed both as a non-vessel-operating common carrier ("NVOCC") and an ocean freight forwarder ("freight forwarder").³

Parsons entered into a contract with Prolink Industries, Inc. ("Prolink"), a New York corporation, to sell Prolink 608 cartons of men's long-sleeved shirts for \$58,200. Parsons' Response to RSI, No. 1; Claim ¶ J. Parsons cleared the goods through Customs in India and paid the local port charges in India. Parsons' Response to RSI, No. 1. Sometime in September 2015, Parsons tendered the goods on document against payment terms⁴ to Ocean Force Enterprises ("Ocean Force"), an entity related to Prolink based in Hong Kong, to arrange the transportation of the goods to New York, NY. Parsons' Response to RSI, No. 1; Claim ¶¶ E-K. Ocean Force then arranged transportation of the goods from Mumbai, India to New York, NY, through Virat Global Logistics Pvt. Ltd. ("Virat"), a Seven Seas' agent in India. Parsons' Response to RSI, No. 1; Seven Seas' Response to RSI, Nos. 1, 5 and 7.

³ See <https://home-fmcgov.msappproxy.net/rpi/Organization.aspx>

⁴ Under "document against payment" terms the shipping documents are held by the seller's bank and released to the buyer only upon payment of the seller's invoice. See, e.g., <https://www.nasdaq.com/investing/glossary/d/documents-against-payment>. Under "document against acceptance" terms the shipping documents to claim the cargo are held by the buyer's bank and released to the buyer once the buyer agrees to pay the seller's invoice. See, e.g., <https://www.nasdaq.com/investing/glossary/d/documents-against-acceptance>.

On September 13, 2015, Virat issued an original Seven Seas bill of lading VGLPNYK18315 stamped No. 0146 ("Bill of Lading No. 0146") for the shipment. *See* Parsons' Response to RSI, No. 1; Seven Seas' Response to RSI, No. 7; Claim at Exhibit A. Bill of Lading No. 0146 identifies M/S Parsons Overseas as the Shipper/Exporter for the cargo; the Consignee as "To Order;"⁵; the Notify Party as Ocean Force Enterprises Ltd.; and Prolink Industries Inc. as the "2nd Notify Party." Claim at Exhibit A.

Unknown to Parsons, Virat also created and issued two additional original Seven Seas bills of lading VGLPNYK18315 marked No. 0169 and No. 0170 to Ocean Force for the same cargo. Bills of Lading Nos. 0169 and 0170 are identical to each other and identify Ocean Force Enterprises Ltd. as the Shipper/Exporter for the cargo, the Consignee as "To Order," and the Notify Party as Macy's.Com, Inc. Claim at Exhibit D; Seven Seas' Response to RSI at Exhibit 2.

The cargo was transported to New York by Hapag-Lloyd under Sea Waybill number HLCUB01150911495, dated September 14, 2015. The Hapag-Lloyd sea waybill describes Virat Global Logistic Pvt. Ltd. as the Shipper and Forwarding Agent and Seven Seas Shipping USA, Inc. as the Consignee and Notify Party. *See* Seven Seas' Response to RSI at Exhibit 2.

On September 23, 2015, Seven Seas received a letter from Ocean Force, written on Prolink's letter head, advising that the goods had been sold while in transit to a company called Courage Clothing Co. ("Courage Clothing") for \$21,825.00. Parsons' Reply at Exhibit C; Seven Seas' Response to RSI at Exhibit 2. Courage Clothing subsequently advised Seven Seas that it was in possession of Bills of Lading Nos. 0169 and 0170 and forwarded the bills of lading to Seven Seas

⁵ The order bill of lading is "a title document to the goods issued to 'the order of' a party, usually the shipper, whose endorsement is required to effect its negotiation. Thus, a shipper's order (negotiable) [bill of lading] can be bought, sold, or traded while goods are in transit and is commonly used for letter-of-credit transactions. The buyer must submit the original [bill of lading] to the carrier in order to take possession of the goods." https://www.marad.dot.gov/wp-content/uploads/pdf/Glossary_final.pdf.

on September 29, 2015. Seven Seas' Response to RSI, No. 5.

Seven Seas received an Arrival Notice from Hapag-Lloyd indicating that the shipment was estimated to arrive in New York on October 7, 2015. Upon arrival, the shipment was subjected to an "intensive Customs examination" and released to Seven Seas on October 12, 2015, incurring charges in the amount of \$938.75. Seven Seas' Response to RSI, No. 5. Seven Seas moved the shipment to its warehouse. Seven Seas' Response to RSI, No. 5. Sometime towards the end of October 2015, Seven Seas released a portion of the shipment to Courage Clothing upon receipt of the charges then due on the container from Courage Clothing. Seven Seas' Response to RSI, No. 5. Seven Seas released an additional portion of the shipment to Courage Clothing on February 2, 2016, and the remainder to Courage Clothing in March 2016. Seven Seas' Response to RSI No. 5.

Parsons, which had been informed by Virat in December 2015, upon inquiry regarding the shipment's status, that the shipment was in Seven Seas' warehouse undergoing Customs examination, was unaware that its goods had been released to Courage Clothing. Parson's Reply at 5. Parsons learned sometime in April 2016, that Seven Seas had released the shipment to Courage Clothing without obtaining Original Bill of Lading No. 0146 or Parsons' authorization. Parsons' Response to RSI, No. 3, 5; Claim ¶¶ M-W. Parsons was only able to obtain \$10,000 of the \$58,200 owed for the shipment from the buyer. After efforts to secure the remaining \$48,200 failed, Parsons initiated this proceeding against Seven Seas on March 6, 2018, seeking reparations for the balance owed. Claim ¶ VI; Parsons' Response to RSI, No. 3.

A. Claimant's Allegations

Parsons states that Seven Seas has not satisfactorily explained why Bills of Lading Nos. 0169 and 0170 were created and alleges that "in creating an unauthorized Alternate Bill of Lading and releasing the Goods against it, contrary to [Parson's] instruction," Seven Seas violated section

41102(c), and caused financial damages to Parsons in the amount of \$48,200. Claim ¶¶ V, VI, W. Parsons states that it was unaware the alternate bills of lading had been created or issued and had believed that Seven Seas would not release the cargo without receipt of Bill of Lading No. 0146 and Parsons's authorization. Claim ¶ W; Parsons' Response to RSI, No. 3.

Parsons further alleges:

When Parsons finally learned that the cargo had in fact been released against fraudulent Alternative Bill of Lading (attached as Exhibit B to the Informal Complaint) and confronted Virat [Seven Seas' agent] about this fact (April 15, 2016 12:52 email from Parsons to Virat (Exhibit 5)), Virat did not deny that the goods had been released while the original Bills of Lading remained with Habib [Parsons' financing bank]. Rather, Virat simply instructed Rashem of Ocean Force [the buyer's representative] to "sort this." (April 15, 2016 1:14 PM email from Virat to Ocean Force (Exhibit 5)). Parsons continued to press the issue to no avail, and Habib eventually returned the original documents to Parsons when the buyer/consignee failed to make the required payments. (June 7, 2017 12:28 PM email from Parsons to Virat (Exhibit 5), and letter from Habib to Indian Overseas Bank (Exhibit 6)).

Parsons' Response to RSI, No. 3. Together with its Answer, Seven Seas had submitted an email from Parsons to Ocean Force suggesting that Parsons had authorized Virat to release the shipment to Ocean Force as follows:

Dear Resham,

As promised, I have spoken to Viral of Virat Agencies and told him to release the part cargo as required by you.

Regards,
Rajesh

February 11, 2016, email from Rajesh, representative of Parsons, to Resham Chellaram, representative of Ocean Force. Addressing the email, Parsons states in pertinent part:

The cited email has been taken out of context and does not constitute authorization from Parsons to release the shipment to Ocean Force. Significantly, this email was sent after the goods had already been released against the fraudulent Alternative Bill of Lading, and therefore could not possibly constitute a valid authorization from Parsons to Seven Seas to release the shipment.

Parsons Response to RSI, No. 3. Parsons states that on December 9, 2015, it had sent an email to Virat asking for an update on the status of its shipment and had received an email back from Virat that the shipment was in their warehouse under Customs examination whereas, by Seven Seas' admission, part of the shipment had already been released by October 2015 to Courage Clothing. Parson's Reply at 5. Parsons asserts that this thus "proves that [Seven Seas], through its agent Virat had an intent to deceive Parsons from the very beginning." Parson's Reply at 5.

Parsons opines that Seven Seas "has utterly failed to explain why it violated the express terms of the Original Bill of Lading to release the covered goods in October 2015, without authorization from Shipper Parsons and without possession of the Original Bill of Lading." Parson's Reply at 1. Parsons avers that "it is settled law that a principal is liable for the acts of its agent," citing *Bank of Batavia v. NY., L.E. & W.R. Co.*, 106 N.Y. 195, 12 N.E. 433 (1887), *Armour v. Mich. C.R. Co.*, 65 N.Y. 111 (1875), and *Brooke v. NY., L.E., & W.R. R.*, 108 Pa. 529, 1 A. 206 (1885). Parson's Reply, No. 7. Parsons argues: "[e]ven assuming as true that [Seven Seas] lacked knowledge of the Original Bill of Lading 0146 or of [Parson's] involvement with or interest in the shipment at issue, which we submit that it did not, [Seven Seas] would still be liable for the acts of its then-agent Virat." Parsons' Reply, No. 7.

Parsons contends that Seven Seas' "claim that it had no knowledge of Parson's involvement in the shipment is disingenuous" in light of the fact that the shipping documents for the shipment, such as the Shipping Bills for Export that accompanied the shipment identify Parsons Overseas as the Shipper/Exporter and Prolink as the Consignee for the shipment. Parsons' Reply, No. 1. Noting that the Shipping Bills for Export were referenced in all Seven Seas bills of lading, "including fraudulent bills 0169 and 0170," Parsons argues that Seven Seas must have been aware that the entity to which it released the cargo was not the shipper or consignee. Parsons dismisses

as inaccurate the ISF/AMS (U.S. Customs and Border Protection Entry Summary) for the shipment that identify Courage Clothing as the Importer of Record and Ultimate Consignee for the shipment, that Seven Seas states it relied upon in part to release the shipment to Courage Clothing. Parsons' Reply, No. 1. Parsons argues that the information reflected in the ISF/AMS should have incorporated the shipper and consignee details from the Shipping Bills for Export of the shipment, but did not. Parsons' Reply, No. 1.

Seven Seas had explained in its Response to RSI, No. 2, that "Seven Seas Bills of lading are individually numbered, which is a tracking mechanism for us to know which agent has used/ issued our Bills of Lading. All our bills of lading have sequential numbering" (Seven Seas' Response to RSI No. 2). Parsons argues in response that each version of the bills of lading issued for Parson's cargo should have contained identical information. Parsons' Reply, No. 2. Parsons posits that accepting Seven Seas' statement that it monitors its bills of lading and numbers them sequentially in order to track them, "it is inconceivable" that Seven Seas was not aware of the existence of bill of lading 0146 and the information contained therein. Parsons' Reply, No. 2.

B. Seven Seas' Response:

Seven Seas asserts:

Seven Seas Shipping USA, Inc. released cargo to the party (Courage Clothing USA Inc) that surrender[ed] 2 original Seven Seas Shipping USA, Inc. Bill[s] of Lading VGLPNYK18315 dated 13-09-2015, that was issued by our then agent in Mumbai, India. M/S Virat Global Logistic Pvt Ltd, located at [], see Exhibit 1. The release of the cargo was done against the surrender of 2 original Bill[s] of Lading, (Exhibit 1) at our office, located, at []. And in compliance with the Shipping Act 46 U.S.C. 41101(c) [sic] we released the cargoes accordingly. We were not notified nor were we aware at the time of release, about a second set of [bill of lading] being issued to the claimant.

Answer at 1-2.

In addition, Seven Seas states:

We understand that our then Agent in India, Virat Global Logistics had direct contact with Hypnotik Clothing Pvt. Ltd, Mumbai and booked the shipment for transportation on their behalf. As is evident to us from the attached email correspondence and from the ISF/AMS filing request from our then Mumbai agents for shipment, Parsons Overseas was not listed or mentioned as party to the shipment.

Seven Seas Bills of Lading are individually numbered, which is a tracking mechanism for us to know which agent has used/issued our Bills of Lading. All our bills of lading have sequential numbering. Hence with the issuance of 3 Original Bills of Lading, which Courage Clothing surrendered 2 originals in our USA Office in Irvine, CA duly endorsed 0169 & 0170 and they need not be issued in sequential order, even though it is recommended.

The Original Bill of [L]ading we have in our possession 0169 & 0170 was issued "To Order" and was released to M/S Courage Clothing USA Inc. Based on receipt of the duly endorsed original Bill of [L]ading which was signed for by Resham Chellaram, from Ocean Force Enterprise Ltd with a letter from Ocean Force – Mr. Vijay Golani, authorizing release of cargo to Courage Clothing. As the [original bill of ladings] that Courage [C]lothing surrendered matched the ISF/AMS filing info that was provided to us (Exhibit 1).

Also, we only became aware of the [Bill of Lading] 0146 being issued and the underlying problems between Courage [C]lothing and Parsons [a]fter all the cargo was released, but never notified or contacted while the cargo was in our possession, even after we released part of the cargo. When we questioned Virat Global, they forwarded to us the email correspondence between Parson and Ocean Force, and Seven Seas Shipping USA, was not included in any of the correspondence. In our opinion and [as] per standard practice we received the original Bills of [L]ading for the subject shipment which tallied with the Marks and numbers of the MBL, and made the release accordingly.

Response to RSI, Nos. 1-3, 7.

Seven Seas asserts: "it is evident from the responses provided that the claimant made no effort to contact [Seven Seas] to take delivery of the cargo, within reasonable time, nor was [Seven Seas] included in any of the correspondence citing an issue with the release of cargo, as all the Bills of Lading in question were issued by our then agent Virat Global Logistics, Pvt. Ltd. and not by [Seven Seas]." Seven Seas' Reply at 1.

Seven Seas notes: "[t]he subject Cargo was Customs Cleared (by Courage Clothing USA Inc.)

with total entered value with US Customs as USD 21,825.00-See Exhibit 2.” Answer at 2.

C. Evidence Submitted by the Parties

1. Submissions From Parsons

Together with their Claim, Response to RSI, and their Reply, Parsons submitted the following:

a) Submitted with Parson’s Claim:

Exhibit A - Bill of Lading No. 0146 (The Seven Seas Original Bill of Lading that was issued to Parsons (Seven Seas Bill of Lading VGLPNYK18315, stamped No. 0146)). Dated September 13, 2015, the bill of lading describes Claimant M/S Parsons Overseas as “the Shipper/Exporter”; the Consignee as “To Order”; and Ocean Force Enterprises Ltd. (the buyer’s agent) as the “Notify Party.” In addition, Prolink Industries Inc. (the buyer) is described as the “2nd Notify Party.”

Exhibit B - two Commercial Invoices and Packing Lists attached to the invoices. The first invoice shows a charge of \$55,512 for 580 cartons of “Mens Long Sleeve Shirt in 65% Cotton 35% Polyester,” while the second shows a charge of \$2,688 for 28 cartons of the same product. Parsons states that the documents are proof that the value of the goods is \$58,200. Claim ¶ J.

Exhibit C - A document from Habib American Bank dated September 22, 2015, instructing the buyer, Prolink Industries, to pay \$58,200 through Indian Overseas Bank per Parsons’ invoices (discussed above). Parsons submits the bank document as proof “[t]he shipment was sent by Complainant on D/P (Document Against Payment) terms.” Claim ¶ K.

Exhibit D - “Alternate Bill of Lading” No. 0169 (One of the bills of lading, Seven Seas’ agent, Virat, created and issued subsequent to issuing a bill of lading to Parsons). Dated September 13, 2015, Alternate Bill of Lading No. 0169 changes the “Shipper/Exporter” from M/S Parsons Overseas to Ocean Force Enterprises Ltd (the buyer’s agent); and changes the “Notify Party” from “Ocean Force Enterprises Ltd” to “Macy’s.com.”⁶

⁶ Macy’s.com is not a party in this proceeding and neither party clarified its connection to the parties or the role it played in this dispute.

Exhibit E - Two letters dated September 9, 2015, and September 27, 2016, from Habib American Bank indicating that payment had not yet been received on Parsons' invoices in the amount of \$58,200 to Prolink. Parsons contends that the letters show "Respondent released the Goods before the D/P terms were satisfied by Prolink." Claim ¶ U.

Exhibit F - Three email exchanges between Parsons and unidentified persons, dated July 7, 2017, July 10, 2017, and November 30, 2017, that Parsons submits as proof that "[t]o date, Complainant has only received \$10,000.00 in payment for the Goods, as compared with the \$58,200.00 full value of the Goods, a fact that is not disputed by Respondent." Claim ¶ W.

b) Submitted with Parson's Response to the RSI:

Exhibit 1 - Commercial invoices and packing lists (previously submitted as Claim "Exhibit B"); receipts from Hapag-Lloyd for the shipment; Documents titled "Shipping Bills for Export" (from the Indian Customs authority, reflecting Customs clearance of the goods in India); and a receipt reflecting payment of clearance charges in India. Parsons states that Exhibit 1 is "evidence that Parsons cleared the goods for export from India as described, and then passed them on to Virat to book the necessary transportation" (Parson's Response to RSI, no. 1).

Exhibit 2 - Emails between Parsons and Virat, characterized by Parsons as "[a]n email exchange between Parsons and Virat in which Parsons instructs Virat to, and Virat does, book transportation of the shipment." Parson's Response to RSI, no. 1.

Exhibit 3 - Commercial invoices and packing lists (same as Claim at "Exhibit B"), and documents titled "Certificates of Origin."

Exhibit 4 - Email exchanges between Parsons and Virat. Parsons states that the emails are proof "that Parsons only learned the goods had been released in April 2016, long after the actual release had occurred." Parsons Response to RSI, No. 3.

Exhibit 5 - Email exchanges between Parsons and Virat that Parsons submits as proof that "Parsons confront[ed] Virat about [the] fact that [the] goods [were] released while documents remained unpaid with Habib." Parsons Response to RSI, No. 3.

Exhibit 6 - Same document as "Exhibit E."

c) Submitted with Parsons Reply:

Exhibit A - Same documents as Parson's Response to RSI at "Exhibit 1."

Exhibit B - Copies of Alternate Bill of Lading No. 0169 (same document as Claim "Exhibit D") and Alternate Bill of Lading No. 0170. Alternate Bill of Lading No. 0170 is identical to No. 0169.

Exhibit C - Notification from Ocean Force on a Prolink letterhead that the shipment at issue (Container FCIU4741843) had been sold to Courage Clothing for \$21,825.

Exhibit D - Email exchanges between Parsons and Virat dated December 9, 2015, in which Parsons inquires about the status of its shipment and Virat responds in pertinent part: "Your cargo is under examination and lying in our warehouse to avoid demurrage and detention charges." Parsons states that this email supports its contention that:

[Seven Seas], through its agent Virat had an intent to deceive Parsons from the beginning . . . for example, Virat told Parsons that the cargo was in its warehouse, presumably uncleared. In fact, contrary to this email and contrary to the agreed-upon terms of the Original Bill of Lading (release upon full payment and presentation of the Original Bill of Lading, form 0146), some of the cargo had already been released.

Parsons Reply, No. 5.

Exhibit E - a document titled "U.S. Customs and Border Protection Entry Summary." The document identifies Courage Clothing as the "Ultimate Consignee" as well as the "Importer of Record" for the goods at issue. The document also indicates that the "Total Entered Value" for the goods is \$21,825.00.

Exhibit F - Same commercial invoices and packing lists as Parsons' Claim at "Exhibit B" and Response to RSI at "Exhibit 1."

2. Submissions from Seven Seas:

Together with their Answer, Response to the RSI, and Reply, Seven Seas provided the following:

a) Submitted with Seven Seas' Answer:

Email exchanges between Parsons, Virat and Ocean Force from September 9, 2015 to February 11, 2016. The emails show discussions between Parsons, Virat and Ocean Force reflecting instructions from Parsons to Virat regarding information to be put on the bill of lading for the shipment and negotiations between Parsons and Ocean Force regarding payment of the charges owed for the goods and release of the container to Ocean Force.

Exhibit 1 - a copy of "Alternate Bill of Lading No. 0169" (same as Parsons Claim at "Exhibit D" and Reply at "Exhibit B"). Seven Seas states that the copy is proof that it "released cargo to the party (Courage Clothing USA Inc.) that surrender[ed] 2 original Seven Seas Shipping USA, Inc. Bill of Lading VGLPNYK18315 dated 13-09-2015 that was issued by our then agent in Mumbai India, M/S Virat Global Logistics Pvt Ltd." Answer at 1.

Exhibit 2 - Document titled "U.S. Customs and Border Protection Entry Summary" (same as Parsons Reply at "Exhibit E"). Seven Seas submits it to show that "[t]he subject Cargo was Customs Cleared [by Courage Clothing USA, Inc.] with total entered value with US Customs as USD 21,825.00." Answer at 2.

b) Submitted with Seven Seas' Seas Response to the RSI:

Exhibit 1 - Document titled "AMS data entry." Seven Seas states that this is a copy of the ISF/AMS [Customs Entry] filing request Seven Seas obtained from our then Mumbai agents for the shipment." Seven Seas' Response to RSI, No. 1. Seven Seas states that the document shows that "Parsons Overseas was not listed or mentioned as a party to the shipment." Seven Seas' Response to RSI, No. 1.

Exhibit 2 – Same document as Seven Seas' Answer at "Exhibit 1."

Exhibit 3 - Hapag-Lloyd Master Bill of Lading for the shipment. The bill of lading describes Virat Global Logistic Pvt Ltd as the Shipper and Forwarding Agent, and Seven Seas Shipping USA, Inc. as the Consignee and Notify Party.

Exhibit 4 - email exchanges between Seven Seas and Courage Clothing. Seven Seas offers the emails as proof that it was not unaware of Bill of Lading No. 0146 or Parson and that it received "email confirmation from Courage clothing advising us they have the OBLs and were sending same to us." Seven Seas' Response to RSI, No. 7.

III. CONTROLLING AUTHORITY

The Claim alleges a Shipping Act violation involving a shipment transported by ocean from India to the United States. The Commission thus has jurisdiction to adjudicate this Claim.

A. Statutory Background

A person may file with the Federal Maritime Commission a sworn complaint alleging a violation of this part, except section 41307(b)(1). If the complaint is filed within 3 years after the claim accrues, the complainant may seek reparations for an injury to the complainant caused by the violation.

46 U.S.C. § 41301(a). In addition, 46 C.F.R. § 502.301(a) provides:

Section 11(a) of the Shipping Act of 1984 (46 U.S.C. 41301(a)) permits any person to file a complaint with the Commission claiming a violation occurring in connection with the foreign commerce of the United States and to seek reparation for any injury caused by that violation.

Parsons alleges that Seven Seas is an NVOCC and a freight forwarder. Claim ¶¶ II.

The term “ocean freight forwarder” means a person that—

- (A) in the United States, dispatches shipments from the United States via a common carrier and books or otherwise arranges space for those shipments on behalf of shippers; and
- (B) processes the documentation or performs related activities incident to those shipments.

46 U.S.C. § 40102(18).

The term “non-vessel-operating common carrier” means a common carrier that—

- (A) does not operate the vessels by which the ocean transportation is provided; and
- (B) is a shipper in its relationship with an ocean common carrier.

46 U.S.C. § 40102(16).

The term “common carrier” –

- (A) means a person that—

- (i) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation;
- (ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and
- (iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country.

46 U.S.C. § 40102(6).

The Claim alleges that the conduct by Virat, Seven Seas' agent, constitutes a violation of section 41102(c) of the Act. Claim ¶ V. Section 41102(c) provides that:

A common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.

46 U.S.C. § 41102(c).

B. Evidence and Burden of Proof

A claimant alleging a violation of the Shipping Act bears the burden of proving its allegation against the respondent because “[i]n all cases governed by the requirements of the Administrative Procedure Act, 5 U.S.C. 556(d), the burden of proof is on the proponent of the motion or the order.” 46 C.F.R. § 502.203. The term, “burden of proof” is understood to mean “the burden of persuasion.” *Director, Office of Workers’ Comp. Programs v. Greenwich Collieries*, 512 U.S. 267, 276 (1994). The party bearing the burden of persuasion must prove its case by a preponderance of the evidence. *Steadman v. SEC*, 450 U.S. 91, 102 (1981)). When the party with the burden of persuasion produces sufficient evidence (characterized as a *prima facie* case), the burden of production shifts to the other party to produce evidence rebutting that case. *Petition of South Carolina Ports Authority for Declaratory Order*, 27 S.R.R. 1137, 1161 (FMC 1997). *See also*

Steadman, 450 U.S. at 101 n.16 (“Where a party having the burden of proceeding has come forward with a prima facie or substantial case, he will prevail unless his evidence is discredited or rebutted.”) (internal citations omitted). When direct evidence is unavailable inference may be drawn from certain facts and circumstantial evidence may be sufficient so long as the fact finder does not rely on mere speculation. *Waterman S.S. Corp v. General Foundries, Inc.*, 26 S.R.R. 1173, 1180 (ALJ 1993). If the evidence produced by both parties is evenly balanced the party with the burden of persuasion will not prevail. *Greenwich Collieries*, 512 U.S. at 281.

IV. DISCUSSION

An issue raised in this proceeding is whether a violation of section 41102(c) of the Shipping Act occurs when an entity which has previously issued a bill of lading for a shipment, creates a different bill of lading for the same shipment without the knowledge or authorization of the holder of the first issued bill of lading, and releases the shipment to an unauthorized person based on the subsequent bill of lading. An additional issue is whether an NVOCC is liable for the conduct of its agent found to violate the Shipping Act. I find that the answer to both questions is yes.

A. The Pertinent Facts Established by the Record Are as Follows:

1. Parsons entered into a contract with a New York corporation called Prolink Industries, Inc. (“Prolink”) to sell 608 cartons of men’s long-sleeved shirts to Prolink. Claimant’s Response to RSI, No. 1; Claim ¶ I.
2. Parsons issued an invoice to Prolink in the amount of \$58,200 for the 608 cartons of men’s long-sleeved shirts. Claim ¶ J; Claimant’s Response to RSI at Exhibit 1.
3. “It is commonplace in India, the country of origin of the shipment in question, for the shipper to arrange Customs export clearance in India and other port formalities, while the buyer’s agent books transportation of the subject goods.” Claimant’s Response to RSI, No. 1.
4. “In this case, Parsons cleared the goods with India’s Customs authority, the Central Board of Excise and Customs [through Virat], and arranged and paid local port fees. Parsons then handed [the] shipment over to . . . Virat Global Logistics Pvt. Ltd. (‘Virat’), as instructed, so that Virat could book [the] transportation.” Parsons’ Response to RSI, No. 1; *see also*

September 11, 2015 email from Minal of Virat to Parsons and others discussing charges owed for Customs clearance of the shipment in India (part of the emails submitted with Seven Seas' Answer).

5. Virat was Seven Seas' "then agent in Mumbai, India." Seven Seas' Answer at 1; Seven Seas' Response to RSI, No. 1.
6. Virat prepared a draft bill of lading which it sent to Parsons for review. On September 5, 2015, Parsons instructed Virat:

Pls note the BL should be marked as "FREIGHT COLLECT" & 2nd notify as the follows.

PROLINK INDUSTRIES INC

1407, BROAD WAY , SUITE 3604 TO 3605

NEW YORK ,NY 10018, U.S.A.

Pls make the necessary changes & send revised BL asap

Virat responded:

Dear Sir,

Please find attached revised HBL Draft.
Kindly confirm.

Thanks and Regards

To which Parsons replied:

BL is ok, pls issue the same.

Rgds

Emails between Parsons and Virat September 5, 2015, to September 13, 2015, submitted with Seven Seas' Answer.

7. On September 13, 2015, Virat issued Seven Seas Shipping USA, Inc. Original Bill of Lading VGLPNYK18315, stamped No. 0146 ("Bill of Lading No. 0146"), for the shipment, reflecting the transportation of a "1 x 20 FCL Container 608 CTNS woven P/L Ready Made Garments Mens Long Sleeve Shirt." Claimant's RSI, No. 1; Respondents' RSI, No. 7; Claim at Exhibit A.
8. Bill of Lading No. 0146 describes M/S Parsons Overseas as the Shipper/Exporter, the Consignee as "To Order," the Forwarding Agent as Virat Global Logistic Pvt Ltd, the "Notify Party" as Ocean Force Enterprises Ltd, Prolink Industries Inc as the 2nd Notify Party, and the Container number as FCIU4741843. Claim at Exhibit A.

9. Ocean Force Enterprises (“Ocean Force”), is a Hong-Kong based entity related to Prolink, the buyer of the cargo. Claimant’s Response to RSI, No. 1.
10. On September 13, 2015, Virat created and issued two additional Seven Seas Shipping USA, Inc. Original Bills of Lading VGLPNYK18315, for the same shipment, stamped Nos. 0169 and 0170 (“Bill of Lading Nos. 0169 and 0170”). Claimant’s RSI, No. 1; Respondents’ RSI, No. 7; Claim at Exhibit A.
11. In Bill of Lading Nos. 0169 and. 0170, Virat changed the “Shipper/Exporter” information for Parsons’ shipment from M/S Parsons Overseas to Ocean Force Enterprises Ltd, the “Notify Party” to Macy’s.com, and deleted the “2nd Notify Party” information. Seven Seas Response to RSI at Exhibit 2.
12. Virat created Bill of Lading No. 0169 and Bill of Lading No. 0170 and issued them without Parsons’ knowledge or authorization. Claim ¶ S. Parsons’ Response to RSI, No 3.
13. “Seven Seas Bills of [L]ading are individually [and sequentially] numbered, which is a tracking mechanism for [Seven Seas] to know which agent has used/issued [its] Bills of Lading”. Seven Seas’ Response to RSI, No 2.
14. The shipment was transported to New York by Hapag-Lloyd under Sea Waybill number HLCUB01150911495. *See* Respondent’s RSI at Exhibit 3.
15. Dated September 14, 2015, Hapag-Llyod Sea Waybill number HLCUB01150911495 describes Virat Global Logistic Pvt Ltd as the Shipper and Forwarding Agent and Seven Seas Shipping USA, Inc. as the Consignee and Notify Party. *See* Respondent’s RSI at Exhibit 3.
16. On September 23, 2015, while Parsons’ shipment (Container number FCIU4741843), was in transit to New York, Seven Seas received a letter on Prolink’s letter head from Vijay Golani of Ocean Force, advising:

To Whom it may Concern

The Following Goods were sold in transit to COURAGE CLOTHING 1407 Broadway Suite 1618 New York NY 10018. Container FCIU4741843 with 608 carton of Men Woven shirts 65% Cotton 35% poly. Packing Slip & invoice 35805 in the amount of USD \$21,825.00 [sic].

Parsons’ Reply at Exhibit C; Seven Seas’ Response to RSI at Exhibit 2.

17. On September 30, 2015, Courage Clothing presented Bill of Lading Nos. 0169 and 0170 to Seven Seas. *See* Respondent’s RSI at Exhibit 3; Seven Seas’ Response to RSI, No. 5.
18. On October 1, 2015, Seven Seas received an Arrival Notice from Hapag-Lloyd indicating that the shipment in question was estimated to arrive in New York on October 7, 2015.

Seven Seas' Response to RSI, No. 5.

19. Upon arrival in the United States the shipment was subjected to "intensive Customs examination" and released by the U.S. Customs on October 12, 2015, incurring charges in the amount of \$938.75. Seven Seas' Response to RSI, No. 3.
20. Seven Seas then moved the shipment to its warehouse in New Jersey. Seven Seas' Response to RSI, No. 3.
21. At the end of October 2015, Seven Seas released a portion of the shipment to Courage Clothing upon receipt of payment of the charges then due on the container from Courage Clothing. Seven Seas' Response to RSI, No. 3.
22. On December 9, 2015, Parsons sent an email to Virat stating in pertinent part: "[the] notify party has failed to make the payment. So kindly let us know what is the status of container & what is the freight charges to release the container." Parsons' Reply at Exhibit D.
23. In December 2015, Virat asked Seven Seas for an update on the status of the container and Seven Seas:

notified [Virat] that part [of the] cargo was released but [Seven Seas] was holding a reasonable amount of [the] cargo in lieu of outstanding payments [due on the container] amounting to approximately US \$10,000 owed to [Seven Seas] for the [warehouse] receiving/sorting/palletization and storage from October 2015 and other charges like Customs Duties and trucking cost which [Seven Seas paid for on behalf of Courage Clothing].

Seven Seas' Response to RSI, No. 3.

24. On December 9, 2015, Virat responded to Parson's inquiry regarding the status of its container:

Your cargo is under examination and lying in our warehouse to avoid demurrage and detention charges. Shipment reached destination in October and till now charges accumulated will be too high. We will revert all relevant charges (freight, warehouse, examination, customs etc) to you shortly. Pls advise if all charges at destination incurred so far will be paid by you or Hypnotik Clothing through whom we received bookings. So far we have received only local charges payment from you and we have handed all documents to you including EP copies.

Parsons' Response to RSI at Exhibit 2.

25. On February 2, 2016, Seven Seas released another portion of the shipment to Courage Clothing and the remainder to Courage Clothing in March 2016. Seven Seas' Response to RSI No. 5

26. It was not until sometime in April 2016 that Parsons learned that Seven Seas had released its shipment to Courage Clothing. Parsons' Response to RSI, Nos. 3, 5; Claim ¶¶ M-W

27. Parsons has only been able to obtain \$10,000 of the \$58,200 owed for the shipment from the buyer. Claim ¶ W; Parsons' Response to RSI, No. 3.

B. Parsons Has Demonstrated that Seven Seas' Agent, Virat, Created and Issued Two Additional Bills of Lading for Parsons' Shipment Without Parsons' Knowledge or Consent and that Seven Seas Released the Shipment to an Unauthorized Party Based on the Unauthorized Bills of Lading.

Virat, Seven Seas' agent, issued the first bill of lading for Parsons' shipment, Bill of Lading No. 0146, to Parsons, the owner of the shipment. Claim ¶¶ G-H. Bill of Lading No. 0146 describes Parsons as the Shipper and Exporter of the shipment and Ocean Force, the buyer's agent, as the "Notify Party," with the Consignee information indicated as "To Order." Claim ¶ A. The record shows that subsequent to issuing Bill of Lading No. 0146 to Parsons Virat created and issued two other bills of lading for the same shipment, reflecting a different person, Ocean Force, as the Shipper and a different Notify Party, without Parson's knowledge or consent. Claim ¶¶ O-S; Seven Seas RSI Response No. 2-3; and Seven Seas RSI at Exhibit 2. Ocean Force subsequently sold the shipment and endorsed the unauthorized bills of lading to a company called Courage Clothing to which Seven Seas then released Parsons' shipment based on its presentation of the unauthorized bills of lading. *See* Seven Seas RSI Response No. 3; and Seven Seas RSI at Exhibit 2.

Although Seven Seas states that it was unaware Parsons had an interest in the shipment, or of Bill of Lading No. 0146, the evidence shows that, "Seven Seas Bills of lading are individually numbered, which is a tracking mechanism for [Seven Seas] to know which agent has used/ issued [its] Bills of Lading. All [Seven Seas] bills of lading have sequential numbering." Seven Seas' Response to RSI No. 2. Seven Seas' thus had a practice of individually numbering its bills of lading and issuing them in sequential order in order to allow it to monitor its bills of lading. This reflects a practice by Seven Seas "related to or connected with receiving, handling, storing, or

delivering property.” The practice appears to have been a reasonable one, however, because Seven Seas states that it was unaware that its agent, Virat, had issued multiple bills of ladings to different shippers for the same shipment it does not appear that Seven Seas followed the practice in this instance to monitor the bills of lading issued by Virat. Any failure by Seven Seas to utilize its resources to monitor its bills of lading does not absolve Seven Seas from its responsibility to ensure that Seven Seas’ agents properly process and issue Seven Seas bills of lading and that they do not issue fraudulent bills of ladings. Therefore, while reasonable, the above practice by Seven Seas is not sufficient for Seven Seas to evade liability for the creation of the illegal bills of lading.

Moreover, the Shipping Bills for Export for the shipment, which were referenced in all three bills of lading in question as Shipping Bill No. 2908405 and Shipping Bill No 2935227, identify Parsons Overseas as the Shipper/Exporter for the shipment.⁷ Parsons’ Claim at Exhibit A; Parsons Reply at Exhibits A and B; and Seven Seas RSI at Exhibits 2 and 3. Seven Seas had the obligation to ensure that the information reflected in its bills of lading was accurate and consistent with all documents pertinent to the shipment.

Seven Seas submitted an email from Parsons to Ocean Force suggesting that Parsons had authorized Virat to release the shipment in question to Ocean Force (replicated below in pertinent part as follows):

From: parsons214@gmail.com

Date: 11 February 2016 at 19:33:50 GMT+7

To: Resham Chellaram <resham@oceanforceintltd.com>

Subject: Re: SOB Confirmation // Checklist for Approval // INV # 3979 & P.List - 580 ctns ##### TOP TOP URGENT ###

Dear Resham

⁷ In addition, Shipping Bill No. 2908405 is referenced in the Hapag-Lloyd’s master bill of lading for the shipment.

As promised, I have spoken to Viral of Virat Agencies and told him to release the part cargo as required by you.

Regards
Rajesh
Sent from my iPhone

Emails submitted with Seven Seas' Answer to the Claim. Parsons states: "this email was sent after the goods had already been released against the fraudulent Alternative Bill of Lading, and therefore could not possibly constitute a valid authorization from Parsons to Seven Seas to release the shipment. Parsons Response to RSI, No. 3.

On the issue of whether Parsons authorized the release of the shipment, the evidence shows that Seven Seas released some of the goods to Courage Clothing at the end of October 2015, an additional portion on February 2, 2016, and the remainder on March 2016. Seven Seas' Response to RSI No. 2. This email communication occurring on February 11, 2016, could thus not have been the reason the shipment was released to Courage Clothing four months earlier in October and again on February 2, 2016. Moreover, Seven Seas explains in its Response to Parson's comment that "no release of cargo was done based on the said email, the release was done based on the receipt of the original Seven Seas Shipping USA B/L 0169/0170 issued by Virat Global Logistics, Mumbai, we have in our possession, which we believed to be the true and correct documents []." Seven Seas' Reply, No.4.

Accordingly, I find that Parsons has proven by a preponderance of the evidence that Seven Seas released Parson's shipment to Courage Clothing without presentation of the genuine endorsed original bill of lading for the shipment (Bill of Lading No. 0146) as required by the terms of the transportation contract, and without Parson's authorization.

C. The Creation of the Unauthorized Bills of Lading by Seven Seas' Agent and Release of Parson's Cargo to the Unauthorized Party Based on the Unauthorized Bills of Lading Constitutes a Violation of Section 41102(c)

Under the transportation terms, Seven Seas had an obligation to release Parsons' shipment only to the party presenting the endorsed Original Bill of Lading No. 0146, the genuine bill of lading for the shipment. The evidence shows that instead, Seven Seas released the shipment to a different party, who presented two unauthorized original bills of lading illegally created by Virat, Seven Seas' agent, without the knowledge and consent of Parsons, the owner and true Shipper/Exporter of the shipment. "[T]he Commission has indeed recognized that NVOCCs violate section 10(d)(1) [the predecessor to section 41102(c)] when they fail to fulfill NVOCC obligations, through single or multiple actions or mistakes, and therefore engage in an unjust and unreasonable practice." *Bimsha Int'l v. Chief Cargo Services, Inc.*, 32 S.R.R. 1861, 1866 (FMC 2013) (internal citations omitted). As discussed more fully below, the fact that the unauthorized bills of lading were created and issued by Seven Seas' agent rather than Seven Seas, itself, is irrelevant to the issue of whether the illegal conduct gives rise to a section 41102(c) violation. Accordingly, I find that Parsons has met its burden to show that the above-discussed conduct constitutes a violation of section 41102(c).

Moreover, the record shows that in addition to creating the illegal bills of lading, Seven Seas' agent intentionally misled Parsons regarding the status of Parsons' shipment. Seven Seas states that in December 2015, Virat, inquired about the status of the shipment and that Seven Seas informed Virat at that time that some of the shipment had been released to Courage Clothing. Nevertheless, in response to Parsons' inquiry on December 9, 2015, regarding the status of its shipment, Virat responded: "Your cargo is under examination and lying in our warehouse to avoid demurrage and detention charges." Seven Seas' Response to RSI at Exhibit 2. Virat relayed this false information to Parsons despite knowing that some of Parson's shipment had already been

released to Courage Clothing for close to six weeks at that point.

Misleading a shipper as to the status of the shipper's cargo has been found to constitute conduct in violation of section 10(d)(1), the precursor to section 41102(c). *See Adair v. Penn-Nordic Lines*, 26 S.R.R. 11 (ALJ 1991). In that case it was found that by intentionally misleading the shipper the respondent displayed an "indifference to the interests of the cargo owner," and "'failed to establish, observe and enforce just and reasonable regulations and practices related to or connected with receiving, handling and storing delivering property' in violation of Section 10(d)(1) of the 1984 Act." *Adair*, 26 S.R.R. at 19-20. Releasing Parsons' cargo to an unauthorized party and deliberately misleading Parsons that the cargo in question was still undergoing Customs examination when it clearly was not, thus constitutes display of "indifference to the interests of the cargo owner," and "engag[ing] in an unjust and unreasonable practice" while performing a contracted service "related to, or connected with . . . delivering property," in violation of Section 41102(c). *See Bimsha* 32 S.R.R. at 1866 and *Adair*, 26 S.R.R. at 19-20.

D. Seven Seas is Liable for the Conduct of Its Agent, Virat

As Virat's principal, Seven Seas is held liable for the conduct of Virat. "[A] licensed ocean transportation intermediary shall be fully responsible for the acts and omissions of any of its employees and agents that are performed in connection with the conduct of such licensee's business." 46 C.F.R. § 515.4(b). Despite becoming aware of the above illegal conduct by its agent through Parsons' complaint, Seven Seas asserts nevertheless that it does not "accept any liabilities for the alleged claim" and denies responsibility for its agent's conduct. Answer at 1. Seven Seas notes:

For the record Seven Seas Shipping USA office never issued Bill of Lading 0169/0170, it is our then agents Virat Global Logistics in Mumbai who issued those [b]ills of lading signed by Mr. Viral Joshi, hence to make a statement that Seven Seas Shipping fraudulently issued the Alternative Bills is false [sic].

Once again, we reiterate, at no time was Seven Seas Shipping USA, was notified of the underlying issues between Seller/buyer/Consignee or Banks nor were we made aware about another [original bill of lading] floating around as alleged by M/S Parson Overseas

Seven Seas' Reply, No. 3.

Even if, as Seven Seas claims, it was unaware at the time of Virat's conduct, Seven Seas subsequently became aware of Virat's illegal activities through Parsons. Rather than working with Parsons to ameliorate the harm caused by its agent, Seven Seas instead disavowed any responsibility for the actions of the agent. As the NVOCC that transported Parsons' shipment, Seven Seas is held to "assume[] responsibility for the transportation [of Parsons shipment] from the port or point of receipt to the port or point of destination." 46 U.S.C. § 40102(6). Thus, by disavowing its responsibility for the losses incurred by Parsons as a result of the actions of its agent, insisting that Parsons instead look for recourse from the agent, Seven Seas further violated its contractual duties.

"A common carrier may not immunize itself from the common carrier responsibilities placed upon it by the Act by dissociating itself from any of its agents' activities which are brought into question." *Corpco Int'l Inc. v. Straightway, Inc.*, 28 S.R.R. 296, 299 (FMC 1998) (quoting *Hellenic Lines, Ltd. – Violation of Sections 16 (First) and 17*, 3 S.R.R. 409 (FMC 1964) (internal quotation marks omitted). Thus, Seven Seas "is correctly held liable for its agent's acts and omission." *Corpco*, 28 S.R.R. at 299. Accordingly, I find that Seven Seas is liable to Parsons for Virat's violation of section 41102(c).

E. Parsons Has Demonstrated That it is Entitled to the Claimed Damages

Parsons alleges that it suffered damages in the amount of \$48,200, because it was only able to recover payment in the amount of \$10,000 from the buyer for its cargo valued at \$58,200. The

evidence submitted by Parsons, including the commercial invoices, packing list, and Shipping Bills for Export for the shipment, as well as the email exchanges between Parsons, Virat and Ocean Force support Parsons' contention that the value of the cargo was \$58,200 but that it only received \$10,000 in payment for the cargo. Parsons has thus proven its claim by a preponderance of the evidence and is granted reparations against Seven Seas in the amount of \$48,200.

V. CONCLUSION

Parsons has established by a preponderance of the evidence that the creation and issuance of the false bills of lading by Seven Seas' agent, based upon which Seven Seas released Parsons' shipment to an unauthorized party, constitutes a violation of section 41102(c) of the Shipping Act and that Seven Seas is liable for the conduct of its agent. Parsons has also established by a preponderance of the evidence its claim that it suffered damages in the amount of \$48,200 as a result of the violation. Parsons is granted reparations against Seven Seas in the amount of \$48,200.

Parsons is entitled to receive compound interest on the award starting from October 30, 2015, in accordance with Rule 253 of the Commission's Rules of Practice and Procedure. Parsons will receive notice of the amount to be paid as interest when the Commission issues its final action in this proceeding.

Theresa Dike



Small Claims Officer